



Weekly Economics Gazette Newsletter

Prepared by: Sebastian, Research Analyst

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Hello!

Welcome to this week's edition of the **Economics Gazette**. This weekly newsletter is designed for educational purposes, offering reflections and commentary on recent articles to help students understand how today's headlines connect to economics and finance in practice. We aim to foster critical thinking and awareness of the forces shaping our world.

Send us feedback and tips to finance@vseus.ca!

Market Overview:

This week's markets were primarily shaped by trade policy, following Trump's release of letters sent to major global leaders. These letters establish August 1st as a key deadline for formalizing trade agreements. While market sentiment remains broadly bullish¹, there is an undertone of caution.

Article 1: Can the Next Fed Chair Truly Be Independent From Trump's Influence?

Author, Source & Date Published: Colby Smith, The New York Times, July 10, 2025

Link: [Reference](#)

Summary:

Trump's expected early nomination for the next Chair of the Federal Reserve could generate more uncertainty in the long-term bond market.

Key Takeaways:

- The Fed's dual mandate involves stabilizing inflation at around its 2% target while promoting a healthy labor market.
- Trump is constantly pressuring the Fed to reduce rates, however he added a new rationale. "Lowering rates is crucial to decrease the cost of the national

¹ Bullish: It refers to an optimistic outlook on the market. Investors expect prices to rise.



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debt". This raises questions on whether the independent nature of monetary policy making from fiscal decisions truly upholds, or if it instead relates to a concept known as fiscal dominance, where fiscal needs influence monetary decisions. This is closely tied with the recent signing of the "Big Beautiful Bill" into law, which adds an estimated \$3.4 trillion to the U.S. debt.



Donald J. Trump  
@realDonaldTrump

Our Fed Rate is AT LEAST 3 Points too high. "Too Late" is costing the U.S. 360 Billion Dollars a Point, PER YEAR, in refinancing costs. No Inflation, COMPANIES POURING INTO AMERICA. "The hottest Country in the World!" LOWER THE RATE!!!

6.28k ReTruths 24.9k Likes

Jul 09, 2025, 9:00 AM

Screenshot of Donald J. Trump's July 9, 2025 Truth Social post.

- The Fed's reputation for independence is at risk as Trump seeks to appoint a loyalist chair in 2026. This could undermine investor confidence and push long-term bond yields higher, the opposite of what Trump wants.

Educational Angle:

Students should be aware about the influence that the Chair of the Federal Reserve holds over the long term guidance and market expectations. An early nomination raises questions about how conflicting views between the current and future Chair might impact future Fed guidance. Regardless of the outcome, it will add more uncertainty in an already unstable time.



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Article 2: Google's Unloved Stock Makes It a Big Tech Bargain

Author, Source & Date Published: Asa Fitch, WSJ, July 9, 2025.

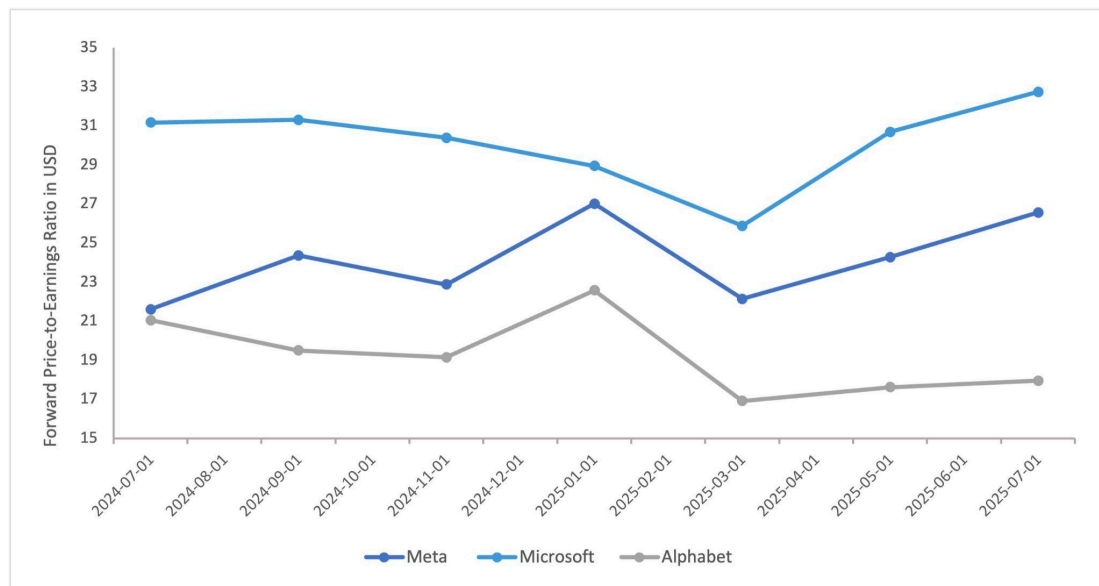
Link: [Reference](#)

Summary:

Google is currently undervalued by the market compared to its tech sector peers.

Key Takeaways:

- Year to date, Alphabet's stock has decreased by 8%, while the S&P 500 increased by 6%, indicating there could be investor uncertainty on Google's performance over its multiple battlefronts.
- Google is trading at approximately 18x earnings², making it "cheap" compared to peers like Meta and Microsoft, whose P/E ratios³. However, valuation comparisons across firms should be approached with caution, as no two companies are perfectly alike.



Source: FactSet, July 2025. [Inspired by WSJ's graph.](#)

² "18x earnings" refers to a price multiple, meaning Alphabet's stock price is 18 times its annual net income. This high multiple reflects investors' expectations that the company's earnings will grow in the future.

³ P/E ratio: is a valuation metric used to assess whether a company's stock price relative to its earnings per share.



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- Google is fighting antitrust accusations in the US and Europe, as it is perceived by the authorities as a search engine monopolist. Furthermore, the rise of AI-powered search alternatives threatens Google's dominance in this space, which currently accounts for 56% of its revenue. However, Google's Gemini AI platform has grown to 350 million monthly users.
- Google's Waymo, an autonomous taxi service, is outperforming competitors like Tesla, operating in five U.S. cities. Analysts see undervaluation in Waymo considering the potential takeover of autonomous vehicles in the future.

Educational Angle:

Students should understand how corporate structures can impact valuation. In Google's case, the combination of various businesses under Alphabet may currently act as a corporate disadvantage rather than a synergetic benefit. WSJ analysts estimate Alphabet's value could have been up to 74% higher if these businesses were separate entities.



Article 3: Trump Threatens 30% Tariffs on EU, Mexico

Author, Source & Date Published: Gavin Bade, Kim Mackrael and Santiago Perez, WSJ, July 12, 2025

Link: [Reference](#)

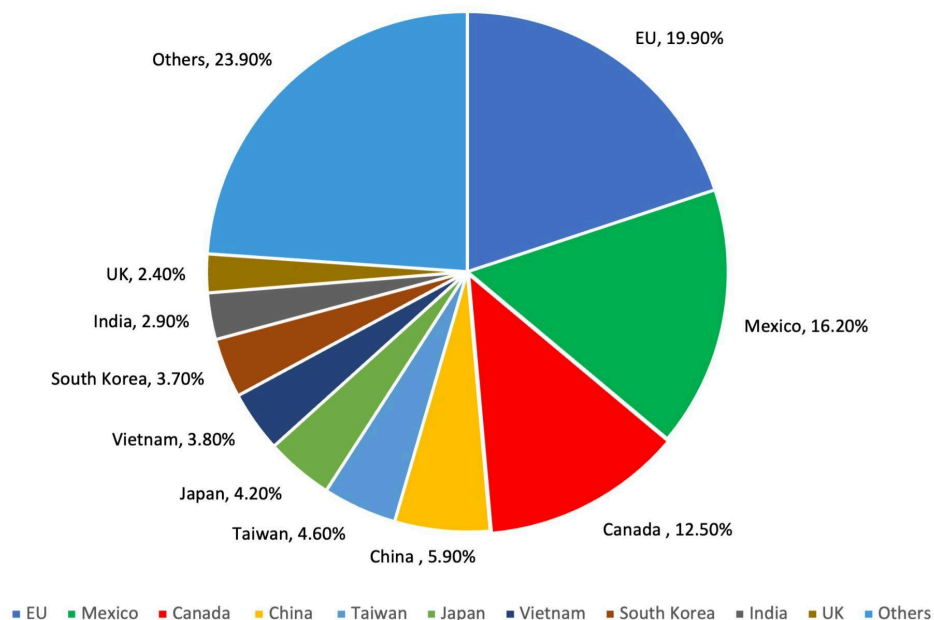
Summary:

Trump has threatened to impose 30% tariffs on imports from the EU and Mexico starting August 1st under different arguments.

Key Takeaways:

- Trump's letters to the EU and Mexico threaten 30% tariffs beginning August 1st. He demands the EU eliminate its trade barriers to address the U.S. trade deficit, while his demands to Mexico focus on stopping fentanyl inflows.

U.S. Trade Share by Partner (Goods) — May 2025



U.S. Census Bureau. (2025). Top Trading Partners – May 2025 Highlights. United States Department of Commerce. Retrieved July 16, 2025.



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- While the headline tariff rate is the same, Mexico might be holding a stronger negotiating position compared to the EU. It is likely these tariffs would only apply to Mexican goods that do not comply with the USMCA (the North American trade agreement Trump signed in 2020). In contrast, tariffs on EU goods would apply across the board.
- Mexico seeks to resolve the dispute through a bilateral agreement, whereas the EU is preparing retaliatory tariffs targeting \$25 billion of American goods.

Educational Angle:

Students should consider the so-called TACO phenomenon, "Trump Always Chickens Out." Despite escalating threats towards major economies, markets increasingly discount the likelihood of these policies materializing. U.S. markets continue to reach record highs and appear to be pricing in delays or reversals.
